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DYING DOLLAR





How It Happened Why It Matters What You Can Do

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A PLAIN-SPOKEN LOOK AT YOUR MONEY

THE DYING DOLLAR

How It Happened. Why It Matters. What You Can Do.

This guide is intended for educational purposes only. It is not investment advice. All data is sourced from public filings of the U.S. Department of the Treasury, the Federal Reserve, the Congressional Budget Office, the Office of Financial Research, the Bureau of Labor Statistics, the International Monetary Fund, and the World Gold Council. Numbered references in the text are keyed to a full list of sources in the References section at the end of this guide.

Published June 2026 by American Sovereign Bullion.

“American Sovereign Bullion is the only company I recommend for physical gold and silver and I don’t lend my name to anyone I don’t trust.”

Larry Kudlow

Host of Fox Business Network’s “Kudlow"

Larry Kudlow is a paid spokesperson for American Sovereign Bullion.





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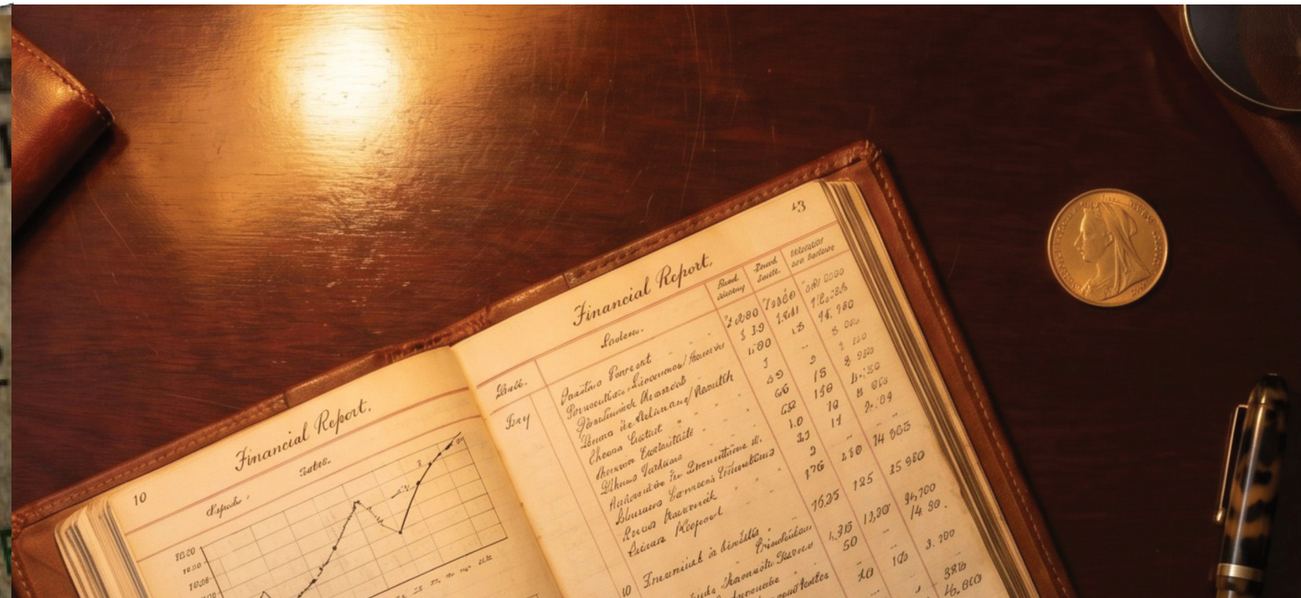
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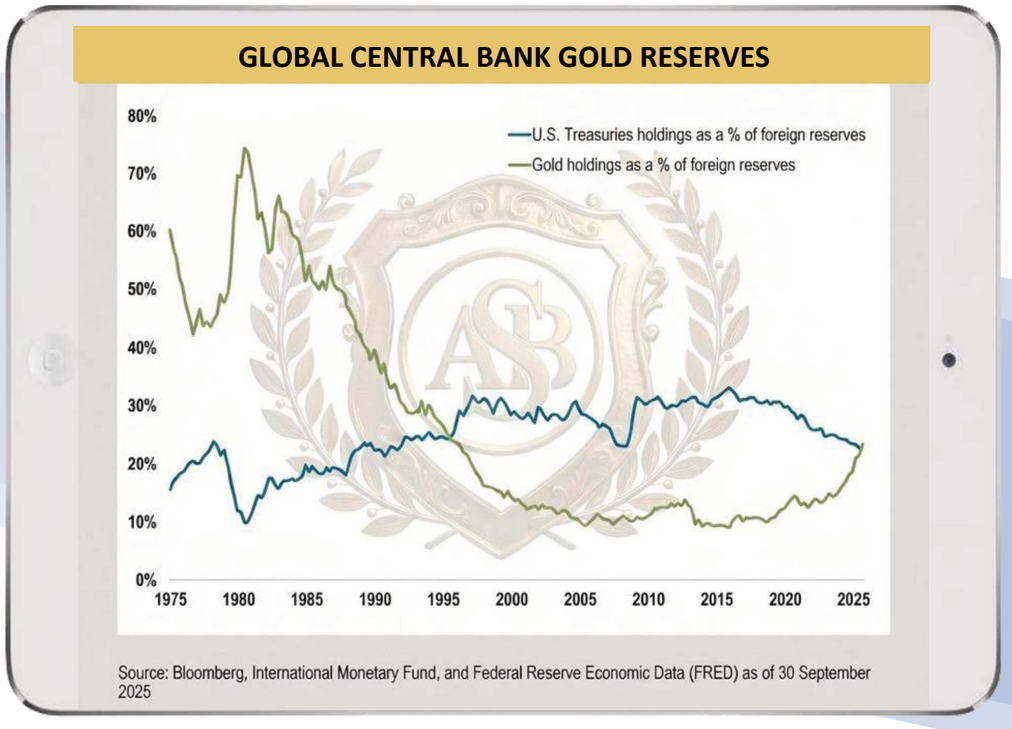
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THE QUIET VERDICT

In 2025, a line on a chart crossed for the first time since 1996. The value of gold held by foreign central banks — roughly $4 trillion — surpassed their combined holdings of U.S. Treasuries.[1] The shift did not make the evening news. It did not trigger a market panic. But the people responsible for managing the world's reserves — the finance ministers, the central bankers, the institutions that quite literally print currency for a living — had collectively decided that gold was the safer place to put it.

When the people who print currency decide to hold gold instead, it is worth asking why.
Gold's share of official foreign reserves has overtaken foreign-held U.S. debt for the first time since 1996.



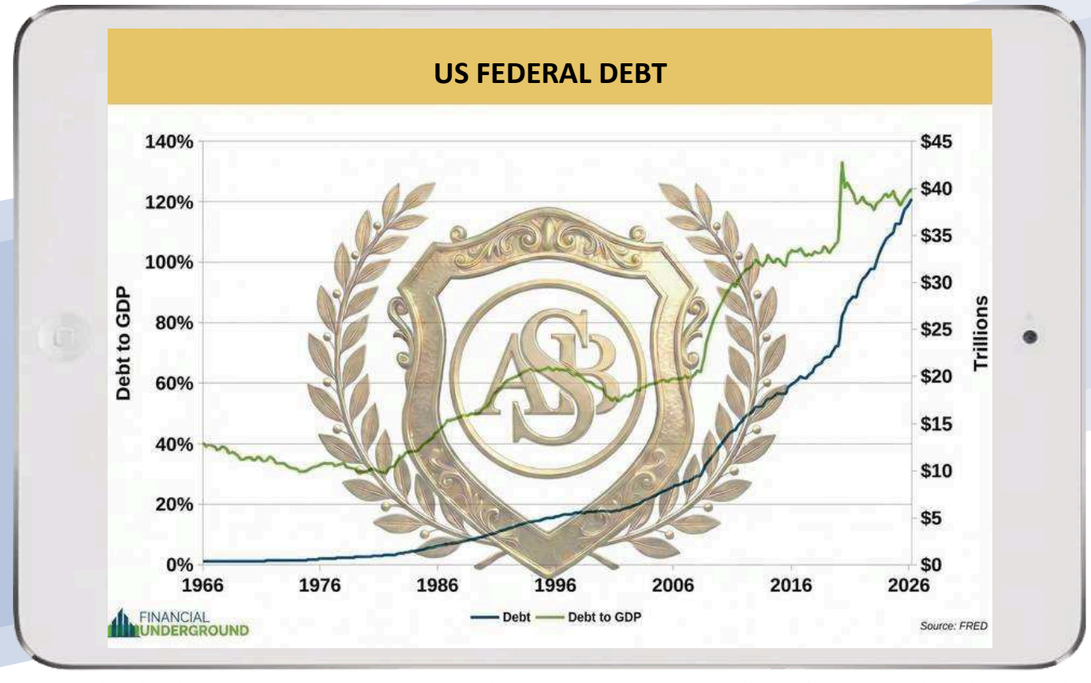
The dollar still dominates global trade and remains roughly 58 percent of total global reserves.[2] But the trend is unmistakable. Since 2022, central banks have bought more than a thousand tonnes of gold each year — roughly double the average of the preceding decade. This guide explains, in plain terms, how the dollar lost most of its value, why that loss is accelerating, and what every saver should understand before the next chapter of this story is written.

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IS THE DOLLAR COLLAPSING?

On March 17, 2026, the U.S. national debt crossed $39 trillion.[3] The previous trillion-dollar milestone had been reached less than five months earlier. That pace of accumulation has few modern precedents outside of wartime or an acute financial crisis.
Consider the word we use: debt. Debt is borrowed money — money extended after a lender has examined the borrower's ability to repay. What the federal government calls debt is something different. It is money created and spent, with no realistic path to repayment. The figure often cited — that every American owes roughly $111,000 — is misleading. No individual and no institution will ever settle that bill.

> ***The economy is not running on savings. It is running on new money — marked as debt.***



U.S. Federal Debt, 1966–2026. Source: Federal Reserve Economic Data (FRED) / Financial Underground.

Consider what the money has funded. The creation of roughly thirty trillion dollars since 2008 has kept the ordinary rhythms of American life intact — the games on television, the restaurants with food on the menu, the grocery stores with food on the shelves. Remove that creation and those rhythms go with it.



Indicator 1 • Why the Fed Cannot Simply Print Forever

When a government creates too much money for too long, the people who sell goods, services, and labor raise their prices. Purchasing power falls. If the creation continues, the money itself becomes worthless. This is not a controversial claim. It is the consensus view of every major monetary institution, including the Brookings Institution, from which that description is drawn.[4]



Indicator 2 • Interest on the Federal Debt

In fiscal year 2025, the federal government spent $970 billion *servicing interest* on the national debt — the first time interest payments have crossed that threshold.[5] That sum equaled roughly 19 percent of all federal revenue collected, or about $7,300 per American household.[6]

Interest is now the third-largest item in the federal budget, behind only Social Security and Medicare.[7] The Congressional Budget Office projects interest costs will cross $1 trillion in fiscal 2026 and continue rising faster than any other major budget category over the coming decade.[8]

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Ask yourself what it means for a retirement measured in dollars when the dollar's fastest-growing obligation is the interest on itself.

U.S. Federal Interest Expense, 1880–2025. Source: FRED, Financial Underground estimates.

Who Actually Buys American Debt?

A common assumption is that the rest of the world lines up to buy U.S. Treasuries. The data tells a different story. Foreign investors collectively hold only about 23 percent of U.S. publicly-held debt — down from a peak of over 34 percent in 2015.[9] The remaining 77 percent is held domestically, including by the Federal Reserve, government trust funds, pensions, mutual funds, banks, and individual investors.[10]

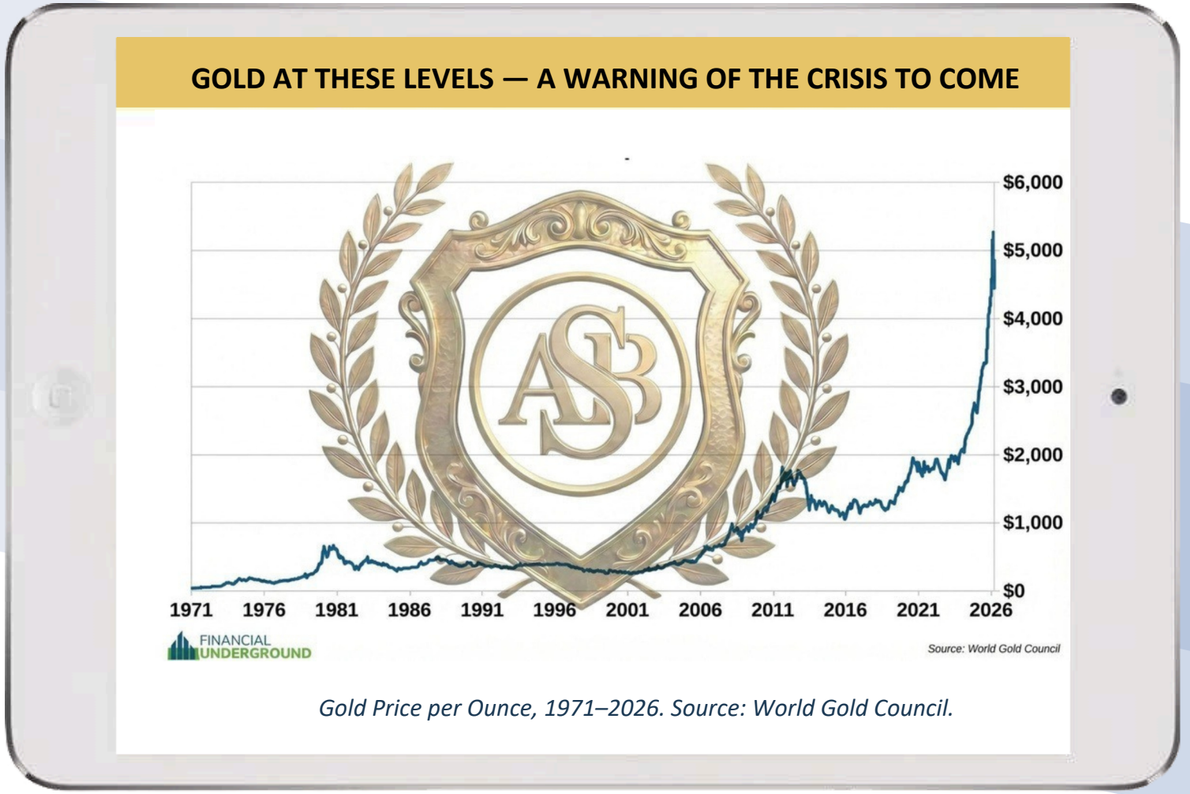
	Value	Share
Intragovernmental holdings (trust funds, Social Security, etc.)	**$7,400,000,000,000**	**19%**
Federal Reserve	**$4,200,000,000,000**	**11%**
U.S. mutual funds and ETFs	**$4,900,000,000,000**	**13%**
U.S. banks and depository institutions	**$2,100,000,000,000**	**5%**
U.S. pension and insurance funds	**$2,800,000,000,000**	**7%**
Other U.S. investors	**$8,500,000,000,000**	**22%**
Japan	$1,200,000,000,000	3%
United Kingdom	$900,000,000,000	2%
China	$700,000,000,000	2%
All other foreign holders	$6,300,000,000,000	16%
Total U.S. federal debt	**$39,000,000,000,000**	**100%**
Held within the United States	**$29,900,000,000,000**	**77%**

Foreign demand for U.S. debt is not driving the system. The system is being funded, increasingly, by American institutions and by the Federal Reserve itself — buying debt that no one else wants at current prices.

Indicator 3 • The Gold Price

For more than five thousand years, gold has served as mankind's most durable form of money.[11] It is divisible, consistent, portable, scarce, and — above all — the hardest of the physical commodities to debase. Those properties explain why central banks have added more than one thousand tonnes of gold to their reserves in each of the past three years, roughly double the rate of the preceding decade.[12]

Gold closed near $4,760 per ounce on April 21, 2026, up more than fifty percent year-over-year.[13]



Gold Price per Ounce, 1971–2026. Source: World Gold Council.

When the world's central banks hold more gold than U.S. Treasuries, the quiet verdict is already in.

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Indicator 4 • The Debasement Doom Loop

Rising interest costs force the Federal Reserve into interest-cost-control policies. Those policies expand the money supply and debase the currency. As the currency is debased, prices rise. As prices rise, the government must spend more on Social Security, on defense, and on every cost-of-living obligation — which can only be financed by still more currency creation.

As former Secretary of Defense Robert Gates has argued, "barely staying even with inflation or worse is wholly inadequate. Significant additional resources for defense are necessary and urgent."[14]

Gates's call illustrates the loop at work — every legitimate budgetary demand, including defense, now competes with rising interest costs, and the gap is filled by newly created currency.



"Your vehicle will run as it always does, with just a coffee cup amount of gas in the tank. You will not notice how depleted the tank is without a gauge. This report is that gauge. You will, however, notice the vehicle acting funny when the tank is at empty."



The feedback loop: spending drives debt, debt drives interest, interest drives printing, printing drives prices — and prices drive spending back up.

As financial commentator Max Keiser put it, *"You can't taper a Ponzi scheme."*[15] A Ponzi scheme, by definition, depends on an unbroken inflow of new money to survive. When the inflow slows, the scheme collapses. Whether or not one accepts that language for the Federal Reserve's current operations, the structural point is hard to dispute: the only way the present system continues is if the Fed continues to create the money it needs to buy the debt it cannot otherwise sell.

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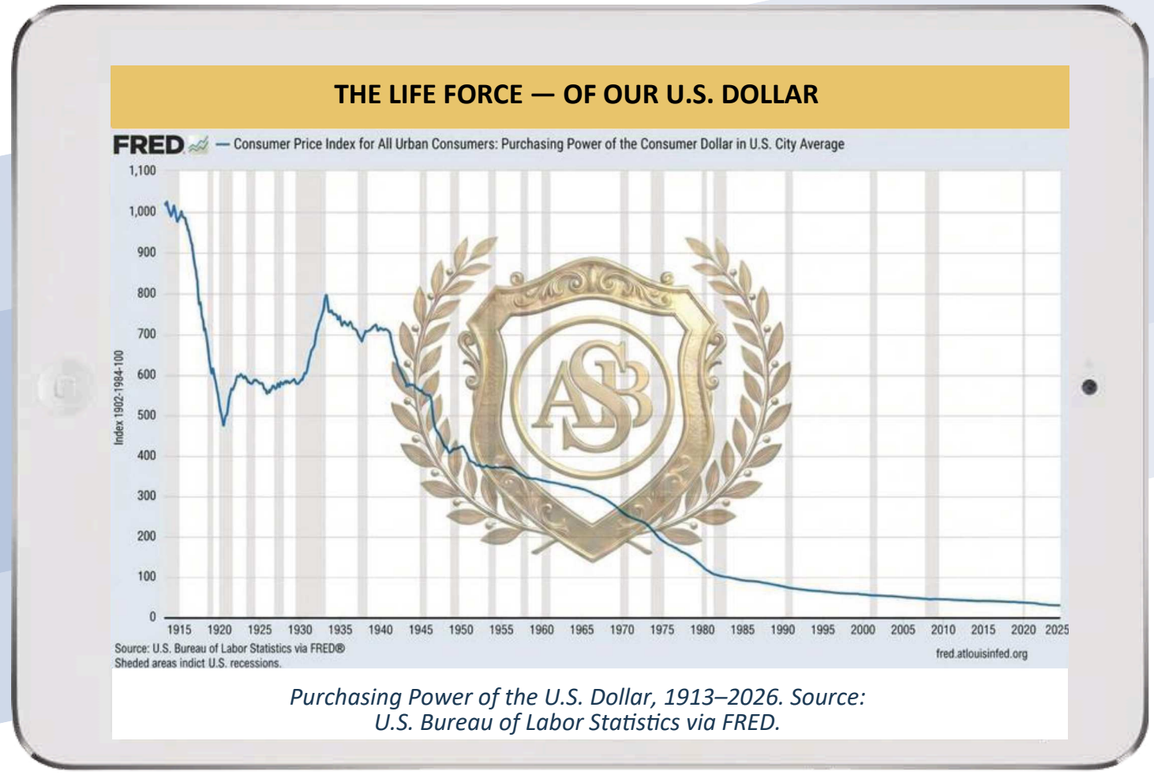
THE RESULT

• A CENTURY OF LOST VALUE

Since 1913—the year the Federal Reserve was established—the U.S. dollar has lost approximately 97 percent of its purchasing power. What cost one dollar in 1913 now costs approximately $33.[16]

Key Findings on Purchasing Power • 1913–2026

- **Massive devaluation.** One dollar in 1913 bought what roughly thirty-three dollars buy today.
- **Average inflation.** Prices rose at an average of roughly 3.1 percent per year from 1913 to 2026.
- **Relative value.** A $20 gold piece from 1913 carried the purchasing power of approximately $660 today.



Purchasing Power of the U.S. Dollar, 1913–2026. Source: U.S. Bureau of Labor Statistics via FRED.

2026 • Money Creation Is Accelerating Again

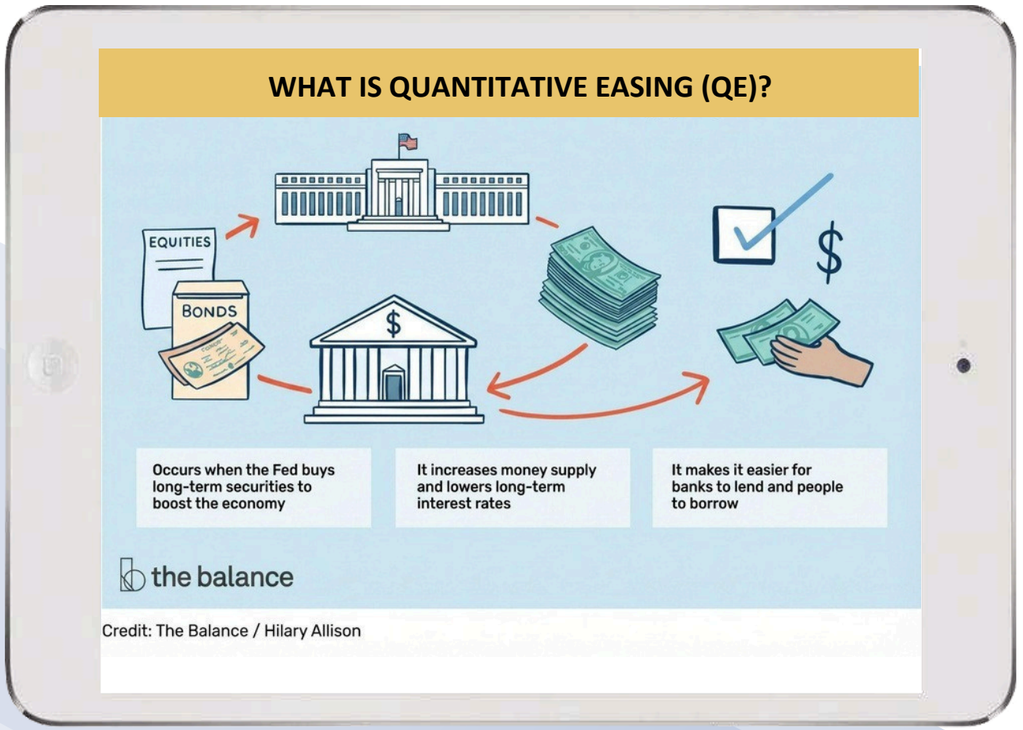
The U.S. M2 money supply reached a record $22.6 trillion in February 2026, growing 4.8 percent year-over-year — the fastest pace since July 2022.[17] Though the Federal Reserve spent two years reducing its balance sheet from a June 2022 peak of $8.93 trillion to $6.54 trillion, the direction reversed in December 2025. Liquidity is expanding again.

Has Quantitative Easing Started Again?

On December 10, 2025, Federal Reserve Chair Jerome Powell announced that the Fed would resume Treasury bill purchases at a pace of $40 billion per month, beginning December 12, 2025.[18] The Fed officially calls these "Reserve Management Purchases," not quantitative easing. The Federal Reserve's balance sheet, which had declined from $8.93 trillion to $6.54 trillion under the preceding policy of quantitative tightening, has now resumed expanding.[19]

Quantitative easing is the practice by which a central bank digitally creates money to purchase large quantities of government bonds or other financial assets, expanding the money supply and lowering long-term interest rates.[20]

A visual summary of quantitative easing. Credit: The Balance / Hilary Allison.



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In plain language: as the economy runs short of real money, the Federal Reserve creates it digitally to buy bonds the Treasury issues. Artificial money buys artificial bonds so that the economy continues to function as it did yesterday. Whether the Fed calls this program “quantitative easing” or “reserve management,” the mechanics are the same.



THE PLUMBING: WHY THE REPO MARKET MATTERS

The repurchase-agreement market — “repo” for short — is the plumbing of the financial system. It is a massive, mostly overnight market in which financial institutions borrow and lend cash to one another, using U.S. Treasuries and similar securities as collateral.[21]

Think of it as a short-term, secured pawn shop for banks and hedge funds — one that turns bonds into cash within hours.

According to the Office of Financial Research, the U.S. repo market averaged roughly $12.6 trillion in daily exposure during the third quarter of 2025 — about $700 billion higher than previous estimates. Despite its scale and its central role in funding securities dealers and managing bank cash, the market has historically operated with limited transparency.[22]



Why It Matters to You

Repo operates behind the scenes, but its stability governs the broader economy. If the repo market seizes up, banks cannot raise cash. Short-term interest rates spike. Loans to businesses and households contract. The chain reaction can resemble the early days of 2008.[23]

In plain terms, the repo market exists because banks do not hold enough liquid cash to operate from one day to the next. They routinely borrow to bridge that gap. When the bridge fails, the system fails.

The Quiet Rule Change of 2020

Effective March 26, 2020, the Federal Reserve reduced required reserve ratios to zero percent for every depository institution in the country.[24] The change was announced on March 15, 2020, as part of the emergency response to the pandemic. It has not been restored.

Enough time has passed, perhaps, for us to realize in truth: the more money you print, the less there is.



Three points worth knowing:

- **This is permanent.**

The reduction to zero is not a temporary measure — it remains in effect today.

- **It covers everyone.**

The change applies to all depository institutions, member and non-member alike.

- **The framework has changed.**

The Fed has formally moved to an "ample reserves" regime, eliminating the requirement to manage reserve balances against a ratio.[25]

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THE ASB CONCLUSION

Not offering financial advice.

The more you print, the more you need. The more you need, the more you exhaust the resource itself — in this case, the dollar. You can create as many ones and zeros as you like on a spreadsheet. Those digits do not represent strength. They represent the opposite.

The Pace of Dollar Destruction

Since the year 2000, the dollar has been losing roughly two pennies of purchasing power per year relative to its year-2000 value.[26] Over the full span since 1913, today's dollar carries the purchasing power of approximately three cents measured against its 1913 counterpart. Whether the next meaningful repricing arrives in months or in years is a matter for each reader to judge. What is not in doubt is the direction of travel.

How you experience the next financial crisis will be determined almost entirely by what your money was in when it arrived.



The choices are narrow: dollars, or something that cannot be printed. Gold. Silver. Land that grows food. The list is short.

A FINAL VISUAL

Consider the dollar, then and now.

One U.S. dollar from 1913 — The year the Federal Reserve came into existence.



A United States Note issued in the early Federal Reserve era.

There is a “1” on both of these bills. But inside the “1” are supposed to be 100 pennies.

Scroll down to see how many $1 bills it would take today to equal the buying power of a $1 bill from 1913.



This page and following 8 pages display 33 modern Federal Reserve Dollars. Together, they equal the purchasing power of the single 1913 Dollar shown above.

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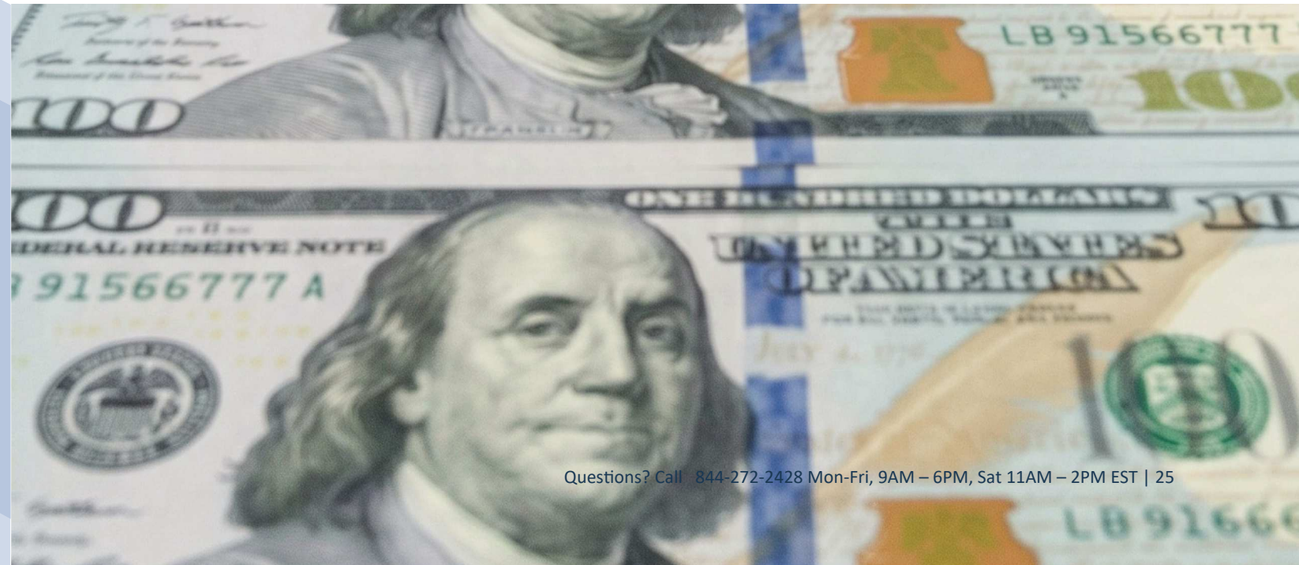
A modern Federal Reserve Note.

It takes approximately thirty-three of today's dollars to buy what one dollar bought in 1913.

A Harder Question

If the dollar has lost that much purchasing power, should we ask whether the asset values measured in dollars have been inflated by the same factor? Is the million-dollar home truly a million-dollar home — or is it, measured in the constant unit of 1913 dollars, closer to thirty thousand? These are the questions sophisticated investors have been quietly answering for themselves, one ounce of gold at a time.

> ***This has been the "Inflation Game". It has been running for roughly fifty-five years, and no one has shown the public, the scoreboard…***



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WHAT TO DO NEXT

The purpose of this guide is not to persuade you of a conclusion. It is to place the facts within reach — each verified against primary sources, each numbered in the References at the end — so that you can make an informed decision about the form in which your savings will meet the next chapter.

If you would like to speak with a specialist at American Sovereign Bullion about protecting your savings in physical gold and silver — or simply to ask the questions raised by this guide — we are here:

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info@ASBgold.com

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